

same. People are more likely to build assets or savings with money they view, or “frame,” as wealth, whereas they are less likely to build savings using what they consider to be current income. Many researchers have continued to elaborate on the behavioral life-cycle model, particularly as it relates to retirement savings.

PRACTICAL APPLICATION

Encouraging people to save more is a task that constantly challenges financial advisors. The “Save More Tomorrow Program,”² developed by Professors Richard H. Thaler of the University of Chicago and Shlomo Benartzi of the Anderson School of Business at UCLA, aims to help corporate employees who would like to save more but lack the willpower to act on this desire. The program offers many useful insights into saving behavior, and examining it will serve as our practical application discussion in this chapter.

The “Save More Tomorrow Program” has four primary aspects:

1. Employees are approached about increasing their contribution rates a considerable time before their scheduled pay increases occur.
2. The contributions of employees who join the plan are automatically increased, beginning with the first paycheck following a raise.
3. Participating employees’ contribution rates continue to increase automatically with each scheduled raise, until rates reach a preset maximum.
4. Employees can opt out of the plan at any time.

Let’s examine the results of a trial of the Save More Tomorrow Program (SMTP) by a midsize manufacturing company in 1988. Prior to the adoption of the SMTP, the company suffered from a low participation rate as well as low saving rates. In an effort to increase the saving rates of the employees, the company hired an investment consultant and offered this service to every employee eligible for its retirement savings plan. Of the 315 eligible participants, all but 29 agreed to meet with the consultant and get his advice. Based on information that the employee provided, the consultant used commercial software to compute a desired saving rate. The consultant also discussed with each employee how much of an increase in saving would be considered economically feasible. If the employee seemed very reluctant to increase his or her saving rate substantially, the consultant would constrain the program to increase the saving contribution by no more than 5 percent.

Of the 286 employees who talked to the investment consultant, only 79 (28 percent) were willing to accept the consultant’s advice, even with the adjustment to constrain some of the saving rate increases to 5 percent. For the rest of the participants, the planner offered a version of the SMTP, proposing that they increase their saving rates by 3 percentage points a